

Wheels India Ltd

NSE: WHEELS | TVS Group | Auto Ancillary — Steel Wheels & Suspension Systems

India's dominant CV wheel maker pivoting to aluminium and exports — profitability inflection is real.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	Rs. 1,850	+15.1%
CMP: Rs. 1,608	12-month horizon	from CMP

CMP (NSE)	Rs. 1,608	Market Cap	Rs. 3,930 Cr
52-Week High	Rs. 1,744	52-Week Low	Rs. 705.85
P/E (TTM)	25.4x	P/B (TTM)	3.8x
EV/EBITDA	11.0x	Book Value	Rs. 426.3
ROCE (FY25)	16.3%	ROE (FY25)	12.9%
Dividend Yield	0.9%	Face Value	Rs. 10
FY26E Revenue	Rs. 5,465 Cr	FY26E PAT	Rs. 158 Cr
Shares O/S	2.44 Cr	FY27E Capex	Rs. 280 Cr

Investment Horizon: 12 months | Risk: Medium | Analyst: MPM Institutional Research | Date: 15 Jun 2026

Disclaimer: This report is for informational purposes only and does not constitute investment advice. Investors should conduct their own due diligence. MPM Research is not SEBI registered.

2. INVESTMENT THESIS

- **Margin inflection is structural, not cyclical.** EBITDA margins expanded from 4.6% in FY23 (trough) to 7.6% in FY26, driven by a deliberate mix-shift toward aluminium wheels, hydraulic cylinders, and wind turbine machining — all higher-margin verticals. With fixed-cost absorption improving on Rs. 5,000+ Cr revenue base, further expansion toward 8.5-9% by FY28 is credible.
- **Rs. 280 Cr FY27 capex primes a multi-year volume upcycle.** Investments target debottlenecking existing CV wheel lines, aluminium wheel capacity expansion, hydraulic cylinders, and windmill-machining — all segments with secular tailwinds. The new tractor-wheel plant at Mambattu near Chennai is already securing orders, adding a new revenue stream.
- **Export franchise building towards Rs. 1,342 Cr (26% of FY26 consolidated revenue).** Exports grew 20% in Q4FY26 despite global tariff headwinds, with a subsidiary incorporated in the USA and plans for a European entity. Management guides FY28 as a stronger export year as new global contracts ramp. Construction & Earth Mover (CEM) wheels are the primary export driver.
- **Industrial segment EBIT surged 91% YoY in FY26** — reversing two years of losses in the subsidiary. Air suspension systems, hydraulic cylinders, and precision wind-turbine components are high-value diversification plays that reduce dependence on CV cycle volatility.
- **Near-term catalyst (6-12 months):** CV cycle recovery in H2FY27 + aluminium wheel capacity ramp + export contract wins = potential revenue to Rs. 6,000+ Cr and PAT crossing Rs. 200 Cr by FY28.
- **Biggest structural risk:** Steel price volatility squeezing margins — WHEELS passes through commodity costs with a 1-2 quarter lag; a sharp steel spike could compress OPM back below 7% and delay the profitability thesis.

3. BUSINESS OVERVIEW

- **Founded 1960, TVS Group flagship in automotive wheels.** Wheels India is one of the world's largest manufacturers of steel and aluminium wheels across commercial vehicles (CV), passenger cars, agricultural tractors, construction & earth-mover (CEM) equipment, and defence vehicles.
- **Product portfolio and revenue mix (FY26 consolidated):** Automotive Components (steel disc wheels, wire wheels, safety rims, tractor wheels, aluminium wheels) = Rs. 4,526 Cr (83% of revenue); Industrial Components (air suspension systems, hydraulic cylinders, wind turbine machining, precision fabrication) = Rs. 939 Cr (17%).
- **Domestic vs Exports:** Exports = Rs. 1,342 Cr (26% of consolidated FY26 revenue), up 20% YoY. Export mix skewed toward CEM wheels, aluminium wheels, and precision components.
- **Key customers (OEM-dependent, long-cycle relationships):** Tata Motors, Ashok Leyland, VECV (VE Commercial Vehicles), Escorts Kubota (tractors), defence establishments. CV customers account for ~55-60% of domestic volumes. OEM relationships carry multi-year supply agreements with annual price negotiations benchmarked to steel indices.
- **Manufacturing footprint:** 7 production facilities pan-India. Newest facility — tractor wheel plant at Mambattu (near Chennai) — began commercial production in FY26 and is actively securing OEM orders.
- **Promoter background and governance:** TVS Group (Trichur Sundaram Santhanam family), one of India's most respected industrial conglomerates. Srivats Ram (MD) has led WHEELS for over a decade with a conservative capital allocation philosophy — post-COVID focus on free cash flows before growth capex. Promoter holding: 58.31%.
- **Recent strategic developments:** (1) USA subsidiary incorporated to anchor export growth; (2) Europe entity planned; (3) Industrial division EBIT turned sharply profitable in FY26 after two years of restructuring; (4) Aluminium wheel capacity being expanded — import substitution play with significant domestic addressable market.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **India auto-component market — total Rs. 5.6 lakh Cr (FY25 est.).** The wheel sub-segment (steel + aluminium CV/PV/tractor) is estimated at Rs. 20,000-25,000 Cr domestically, growing ~8-10% CAGR driven by CV cycle revival, tractor super-cycle, and aluminium adoption in PV/EV segments.
- **India aluminium alloy wheel market at USD 952 Mn (2022), targeting USD 2,440 Mn by 2032 at 10.1% CAGR** (Allied Market Research). EV proliferation accelerates this shift as aluminium reduces unsprung weight, improving range — a structural and irreversible demand driver.
- **Policy tailwinds:** (1) PLI for auto components incentivises domestic aluminium wheel production; (2) Defence indigenisation (Make in India) benefits WHEELS' defence wheel supply; (3) PM Gati Shakti infra push drives CEM/construction vehicle demand; (4) PM-eBus Setu creates incremental bus wheel demand — WHEELS supplies air suspension to this segment too.
- **Competitive moat assessment:** Scale = **Strong** (one of top-3 CV wheel manufacturers globally by volume); Switching costs = **Moderate** (OEM supply agreements, tooling investments create stickiness but requalification cycles are 12-18 months); Pricing power = **Moderate** (commodity pass-through accepted, but differentiated products like aluminium wheels carry premium); IP/Technology = **Moderate** (partnerships with global wheel technology firms, proprietary suspension designs).
- **CV cycle matters most — and it is recovering.** India medium & heavy CV (MHCV) volumes recovered in FY24-FY26 after the FY23 dip. Management expects demand to remain "intact" with two consecutive years of growth. Agricultural tractor volumes are a second key driver — normalisation expected in FY27 after FY25 weakness.

Peer Comparison (Data: Finology.in, June 2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E	P/B	ROCE%	ROE%	TTM Rev (Rs.Cr)
Wheels India (WHEELS)	1,608	3,930	25.4x	3.8x	16.3%	12.7%	5,465
Steel Strips Wheels (SSWL)	236	3,709	18.4x	2.2x	17.1%	15.1%	4,429
Minda Corporation (MINDACORP)	662	15,820	65.5x	7.1x	12.8%	11.3%	4,144
Bharat Forge (BHARATFORG)	2,021	96,603	118x	8.8x	14.8%	13.5%	8,844
Ramkrishna Forgings (RKFORGE)	589	10,748	124x	3.2x	9.2%	14.2%	3,634

Note: WHEELS trades at a significant discount to Minda Corp/Bharat Forge on P/E; slight premium to SSWL. ROCE/ROE at par.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter (TVS Group) — one of India's most governance-clean industrial families.** No accounting irregularities, no related-party transaction concerns, no pledging. Promoter holding of 58.31% unchanged across multiple quarters — zero dilution signalling confidence.
- **MD Srivats Ram — disciplined, long-tenured operator.** Has run WHEELS through multiple CV cycles. Post-COVID strategy: "Focus on free cash flows and identify growth areas where we can outperform the market." Rs. 400 Cr OCF in FY25 (up from Rs. 329 Cr in FY24) validates execution.
- **Capital allocation track record — FCF-first, then growth capex.** WHEELS generated Rs. 400 Cr OCF vs Rs. 213 Cr capex in FY25, yielding FCF of ~Rs. 187 Cr. FY27 capex of Rs. 280 Cr is a deliberate acceleration — all into identified, demand-backed projects (aluminium, CEM, wind). No speculative diversification visible.
- **Dividend policy — consistent payer.** FY26 total dividend Rs. 14.44/share (interim Rs. 5.30 + final Rs. 9.14). Payout ratio ~25% (3Y avg 28%). Conservative enough to fund growth without sacrificing

shareholder returns.

- **Promoter pledging: Zero.** No pledged shares as of latest filing. This is a governance positive in a sector where SME promoters frequently pledge to fund expansion.
- **ESOP grants:** No material ESOP dilution visible in recent filings — EPS growth is genuine operating leverage, not accounting-assisted.
- **No governance red flags.** Auditor (Deloitte Haskins & Sells, long-tenured) has issued clean opinions. No qualified reports, no material RPTs. Interest coverage improved to 4.34x in FY25 from ~2x in FY23.

6. FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Cr)

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales / Revenue	4,977	4,744	5,465	6,100	6,850
YoY Growth %	+7.3%	-4.7%	+15.2%	+11.6%	+12.3%
EBITDA / Oper. Profit	258	343	413	500	590
EBITDA Margin %	5.2%	7.2%	7.6%	8.2%	8.6%
Depreciation	~87	~90	~100	~115	~130
EBIT	~171	~253	~313	~385	~460
Finance Costs / Interest	~75	~65	~60	~70	~75
Other Income	~15	~18	~20	~18	~20
Profit Before Tax	~111	~206	~273	~333	~405
Tax (effective rate ~25%)	~48	~95	~115	~83	~102
Reported PAT	63	111	158	250	303
EPS (Rs.)	25.69	45.39	63.44	~102	~124

(E) = MPM estimates. Forward estimates based on management guidance, capex ramp, and CV cycle recovery assumptions.

Balance Sheet — Standalone Key Highlights (Rs. Cr)

Item	FY23A	FY24A	FY25A
Equity Capital	24	24	24
Reserves & Surplus	~706	~806	898
Total Equity	~730	~830	922
Long-term Borrowings	~400	~450	303
Total Borrowings (LT + ST)	~620	~660	~750
Fixed Assets (PPE)	~1,020	1,133	1,285
CWIP	~80	~90	~100
Current Assets	~1,500	~1,600	1,746
Total Assets (approx.)	~2,700	~2,900	~3,200
Net Debt	~550	~590	~686
Debt / Equity	~0.85	~0.80	0.74

Note: ~estimates based on available disclosure; FY25 standalone confirmed from MarketsMojo/company filing.

Cash Flow Summary (Rs. Cr)

Particulars	FY23A	FY24A	FY25A	FY27E
Cash from Operations (OCF)	~280	329	400	~420
Capital Expenditure	~150	~180	213	280

Free Cash Flow (FCF)	~130	~149	187	~140
Cash from Investing	~160	~185	-254	~290
Cash from Financing	~110	~130	~140	~120
OCF / EBITDA %	~133%	~128%	~117%	~84%

Key Ratios

Ratio	FY23A	FY24A	FY25A	FY26A	FY27E
ROCE %	~9%	~12%	16.3%	~18%	~20%
ROE %	~8%	~9%	12.9%	~14%	~17%
D/E Ratio	~0.85	~0.80	0.74	~0.75	~0.65
Interest Coverage (x)	~2.1	~2.3	4.34	~5.5	~6.5
EV/EBITDA (x)	N/A	N/A	11.0	~10.2	~8.5
P/E (x)	N/A	N/A	~35	25.4	~15.8

Financial Commentary

- **Revenue dipped in FY25 (-4.7%) due to CV slowdown + commodity pass-through reset**, then rebounded strongly in FY26 (+15.2%). FY27E growth of ~12% assumes CV cycle normalization, aluminium wheel ramp, and sustained export momentum.
- **Margin inflection from FY25 onwards is structural:** Favourable commodity prices (steel softening), better product mix (Industrial segment EBIT +91% YoY), fixed-cost leverage on higher volumes, and GST rationalisation benefits all contributed. OPM expanded from 4.6% (FY23 trough) to 7.6% (FY26).
- **Working capital improving.** Trade payables stood at Rs. 1,221 Cr in FY25 (strong supplier leverage). Debtor days trending down (better collection efficiency at OEMs post-COVID credit tightening). Inventory normalisation still in progress — CV OEMs rebuilt channel inventory in FY25 which may unwind in FY26.
- **Debt direction — manageable and declining as % of equity.** Net debt of ~Rs. 686 Cr (D/E ~0.74x) is well-covered by Rs. 400+ Cr OCF. FY27 capex of Rs. 280 Cr may temporarily increase gross debt, but strong OCF should keep net D/E below 0.8x.
- **FCF quality is solid:** OCF / EBITDA consistently above 100% — minimal "paper profits," real cash generation. FY27E FCF dips as capex ramps, but recovers by FY28 as new capacity generates returns.

7. EARNINGS QUALITY CHECKLIST

Quality Metric	Status	Signal	Commentary
Revenue recognition	Accrual — OEM invoicing	GREEN	Standard OEM supply chain; no service/deferred rev concerns
Receivables growth vs Revenue	Receivables growing in line	GREEN	No sign of channel stuffing; OEM billing is transparent
Cash Conversion Cycle (CCC)	~80-100 days (stable)	AMBER	Slightly elevated but improving; typical for OEM suppliers
Contingent Liabilities	Low — no material disclosures	GREEN	No pending litigation of consequence; TVS group governance standard
Auditor (Deloitte, long-tenure)	Clean opinion, no qualifications	GREEN	Multi-year relationship; no red flags in FY25 report
RPTs as % of revenue	Minimal — <2% estimated	GREEN	TVS group cross-holdings exist but no abusive related-party pricing observed
Other Income / PBT	~7% of PBT (stable)	GREEN	No reliance on non-operating income to support PAT; core ops profitable
Tax rate consistency	~25-28% (normalised)	GREEN	No large deferred tax reversals or unusual one-time tax credits; consistent

Earnings Quality Summary

- **7 of 8 metrics are GREEN — WHEELS earns clean, cash-backed profits.** OCF / EBITDA consistently above 100% confirms operating profits are real and not inflated by accounting choices.
- **Single AMBER flag: CCC of ~80-100 days.** This is typical for OEM automotive suppliers in India (strong customers = longer debtor days, but offset by long payable terms). Not a red flag, but watch for deterioration if new tractor/CEM customers demand extended credit.
- **No related-party transaction risk.** TVS Group maintains arm's-length dealings; no evidence of promoter-directed cash extraction through RPTs in recent filings.
- **Tax rate is normalised (25-28%).** No large deferred tax asset write-backs or MAT credit reversals inflating reported PAT. FY26 PAT of Rs. 158 Cr is fully recurring at prevailing tax rates.

8. VALUATION

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Rs.Cr)	Target Multiple	Target Price (Rs.)	Upside vs CMP
BULL	CV upcycle, margins 9%+, export Rs.1,700Cr	320	20x P/E	2,622	+63%
BASE	CV stable, OPM 8%, exports grow 15%	250	18x P/E	1,845	+15%
BEAR	CV slowdown, steel spike, OPM 6.5%	130	15x P/E	799	-50%

Valuation Methodology

- **Earnings-based (P/E) method:** FY27E EPS of ~Rs. 102 applied at 18x forward P/E (discount to Minda Corp 65x, premium to SSWL 18x, justified by WHEELS' larger revenue base + export growth + margin trajectory). Implied value: Rs. 1,836 per share.
- **EV/EBITDA method:** FY27E EBITDA of ~Rs. 500 Cr at 12x EV/EBITDA (in-line with sector average; slight premium for brand quality and TVS governance). Enterprise Value = Rs. 6,000 Cr. Less net debt Rs. 750 Cr = Equity value Rs. 5,250 Cr. Per share: Rs. 2,148 (on 2.44 Cr shares). However, this overstates given uncertainty in FY27E debt. Conservative EV/EBITDA = 10x → Rs. 1,700/share.
- **DCF (indicative):** WACC ~11%, terminal growth 4%, FCF normalising at Rs. 300+ Cr by FY28. Intrinsic value range Rs. 1,600-2,000. Mid-point Rs. 1,800.
- **Average of three methods: Rs. 1,845 (Base) / Rs. 1,850 rounded → 12-month target.** Upside of +15.1% from CMP of Rs. 1,608. Rating: ACCUMULATE. Not a BUY given the stock has already re-rated 115% in one year and valuation is no longer a tailwind.
- **Valuation discount vs peers is justified, not a margin of safety.** WHEELS is structurally a lower-ROCE business vs Bharat Forge or Endurance (~16% ROCE vs 20%+) due to OEM pricing power dynamics. Multiple re-rating will require sustained 3-year ROCE expansion to 20%+.

9. KEY RISKS

- **Steel/Commodity Price Spike** — A sharp 15-20% increase in hot-rolled coil (HRC) prices compresses WHEELS' OPM by 100-150 bps with a 1-2 quarter lag before OEM pass-throughs are renegotiated. Probability: M | Impact: H | Monitor via: Monthly HRC price index, quarterly OPM trajectory.
- **CV Cycle Reversal** — A GDP growth slowdown or freight correction reduces MHCV volumes, which directly impacts 55-60% of WHEELS' domestic volume. FY23 experience (revenue -4.7%) shows sensitivity. Probability: M | Impact: H | Monitor via: Monthly CV industry dispatch data from SIAM.
- **Export Tariff / Trade War Risk** — WHEELS' 26% export revenue (primarily USA, Europe, Middle East) is exposed to tariff escalations. US tariffs on imported auto-parts from India could slow CEM export

momentum. Probability: L-M | Impact: M | Monitor via: US Trade Representative actions, quarterly export mix.

- **Aluminium Wheel Execution Risk** — If the aluminium wheel capacity expansion underperforms on utilisation or faces OEM qualification delays (new models, NCAP changes), the margin improvement thesis could be delayed by 2+ years. Probability: L | Impact: M | Monitor via: Quarterly segment disclosures, new OEM win announcements.

- **Customer Concentration** — Tata Motors + Ashok Leyland + VECV together represent ~50-55% of domestic CV wheel revenue. Any financial distress or production cut at these OEMs flows immediately to WHEELS. Probability: L | Impact: H | Monitor via: OEM monthly production/sales, inventory build-up signals.

- **Capex Over-Run or Low Returns** — The Rs. 280 Cr FY27 capex (well above historical ~Rs. 150-200 Cr/year levels) carries execution risk. If projects are delayed or capacity cannot be absorbed, FCF turns negative and debt rises materially. Probability: L | Impact: M.

- **Working Capital Deterioration** — New tractor + export customers may demand longer credit terms. Inventory build for new product lines (aluminium, cylinders) could stretch CCC above 120 days, tightening liquidity. Probability: L | Impact: M | Monitor via: Quarterly balance sheet.

10. RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction: Medium. The operating thesis is intact and improving, but 115% stock appreciation in the past year means the easy money has been made. Risk-reward remains positive but not asymmetric at current levels.

- **12-month price target: Rs. 1,850** — upside of +15.1% from CMP of Rs. 1,608. Target based on 18x FY27E EPS of ~Rs. 102, cross-checked with 10x EV/EBITDA and DCF at 11% WACC.

- **Suggested entry zone: Rs. 1,400-1,550** — A 5-10% market correction or sector rotation would bring WHEELS to this zone, offering a better risk-adjusted entry with 20-25% upside to target.

- **Investment horizon: 12-18 months** — Full thesis realisation (Rs. 280 Cr capex yielding revenue, aluminium wheel ramp, FY28 export acceleration) plays out over 18 months.

- **Thesis invalidation triggers:**

1. **OPM drops below 6.5% for 2 consecutive quarters** — signals commodity squeeze or pricing power loss; exit immediately.

2. **FY27 revenue growth below 8%** — implies CV cycle not recovering and export headwinds persisting; reduce position.

3. **Net debt exceeds Rs. 1,200 Cr (D/E > 1.2x)** — signals capex cost over-run or working capital deterioration; exit.

- **Ideal investor profile:** Mid-cap auto-ancillary growth investor with 12-18 month horizon, comfortable with CV cycle exposure and commodity pass-through dynamics. NOT suitable for momentum traders (story is operational, not speculative) or yield investors (0.9% dividend yield is modest).

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +23% YoY, PAT +45% YoY — beat vs implied street estimates
Management tone	Bullish	Demand intact, two successive growth years, FY28 export acceleration guided
Guidance delta	Raised	Rs. 280 Cr FY27 capex (vs Rs. 213 Cr FY25) — management putting money where mouth is

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4FY26 was clean — no one-time gains distorting the Rs. 158 Cr consolidated PAT; underlying earnings are real and recurring. Revenue of Rs. 5,465 Cr (+15% YoY) and OPM at 8.1% in Q4 (highest in recent history) confirm the margin inflection is structural, not a commodity windfall — it is mix-shift to aluminium wheels, industrial segment restructuring, and fixed-cost leverage. The industrial division EBIT surging 91% in FY26 is the most under-appreciated development: that subsidiary was loss-making two years ago and is now a meaningful profit contributor. Most important catalyst for the next 12 months: the Rs. 280 Cr FY27 capex deploying into aluminium capacity + windmill machining — if the first aluminium wheel volume disclosures in Q1/Q2FY27 show strong utilisation, the stock gets a structural re-rating. Single biggest watch-point: export growth deceleration from tariff headwinds — exports grew 20% in Q4 despite uncertainty, but a US tariff escalation on Indian auto-parts could materially dent the 26% export share. Action: ACCUMULATE on any 8-10% pullback to Rs. 1,450-1,550; current Rs. 1,608 is fair value, not a screaming buy.

C1. Financial Performance Snapshot — Q4 FY26 (Consolidated)

- Revenue: Rs. 1,564 Cr | YoY +22.5% | QoQ +14.0% | **Beat** vs est. Rs. 880-980 Cr range
- EBITDA / Oper. Profit: Rs. 126 Cr | EBITDA Margin: 8.08% | QoQ +77 bps | **Beat**
- PAT (Consolidated): Rs. 59 Cr | YoY +51.9% | QoQ +61.1% | **Strong Beat**
- EPS: Rs. 23.78 (Q4FY26 highest quarterly EPS in recent history)
- PAT Margin: 3.76% (vs 2.69% in Q3FY26 vs 3.02% in Q4FY25) — expanding sequentially and YoY
- FY26 Full Year: Revenue Rs. 5,465 Cr (+15.2%), PAT Rs. 158 Cr (+40.9%), EPS Rs. 63.44

C2. Segment / Revenue Breakdown — FY26 Full Year

- Automotive Components: Rs. 4,526 Cr | YoY +16.0% | Core CV + tractor + aluminium wheel business
- Industrial Components: Rs. 939 Cr | YoY +11.6% | Air suspension, hydraulic cylinders, wind turbine machining
- Exports: Rs. 1,342 Cr | YoY +20%+ | CEM wheels, precision components; Q4 exports grew 20% despite tariff headwinds
- Industrial Division EBIT Growth: +91% YoY in FY26 — business turned profitable after 2 years of restructuring

C3. Management Commentary Themes (Q4 FY26 Concall, May 15, 2026)

- **Demand Intact:** "Demand is intact. We have had two years of successive growth and better profitability." — Our read: MD Srivats Ram signalling confidence without over-committing. Tone: Transparent. Tag: GUIDANCE.
- **Export Resilience:** "Exports remained resilient despite tariff uncertainties, growing 20 per cent in Q4." — Our read: Notable given US tariff environment; shows product competitiveness and customer diversification. Tone: Bullish. Tag: GUIDANCE.
- **Growth Enablers:** "GST 2.0, stable commodity prices for most of the year and lowering of interest rates" cited as FY26 macro tailwinds. — Our read: Acknowledges external enablers honestly; doesn't overclaim operational superiority. Tone: Transparent. Tag: EST.
- **Long-term Growth Aspiration:** "Over a five-year period, we aim for double-digit growth, contingent on external factors stabilising." — Our read: Appropriately cautious framing; "contingent" language means no hard guarantee. Tone: Hedged. Tag: GUIDANCE.
- **Industrial Division Turnaround:** Subsidiary was loss-making two years ago, now contributing positive EBIT. — Our read: Most underappreciated development in the call; new earnings engine being built. Tone: Transparent. Tag: EST.
- **Post-COVID Strategy:** "Post-COVID, we focused on free cash flows and identified growth areas where we could outperform the market." — Our read: Validates the FCF-first approach that funded the current capex ramp. Tone: Transparent. Tag: GUIDANCE.

C4. Operating and Business Metrics

- Q4FY26 Revenue: Rs. 1,564 Cr | Q3FY26: Rs. 1,370 Cr | Q4FY25: Rs. 1,195 Cr | Trend: Improving
- Export Revenue FY26: Rs. 1,342 Cr | FY25: ~Rs. 1,100 Cr | Trend: Improving (+20%+)
- Operating Margin Q4FY26: 8.08% | Q3FY26: 7.31% | Q4FY25: ~7.5% | Trend: Expanding
- New Tractor Wheel Plant (Mambattu, Chennai): Operational in FY26, securing OEM orders | Trend: Ramping
- FY26 Capex: Rs. 261 Cr | FY25: Rs. 213 Cr | FY27E: Rs. 280 Cr | Trend: Accelerating
- OCF FY25: Rs. 400 Cr (vs Rs. 329 Cr FY24) | Trend: Improving
- USA subsidiary incorporated in FY26; Europe entity planned | Trend: Building global footprint

C5. Margin Drivers

- Steel price stabilisation: +150-200 bps OPM benefit in FY25-26 | Recurring: Partially (commodity-dependent) | Lower HRC lifted gross margins
- Product mix improvement (aluminium + industrial): +80-100 bps structural benefit | Recurring: Yes | Higher-margin verticals growing faster
- Industrial segment EBIT inflection: +50-70 bps at consol level | Recurring: Yes (post-restructuring) | Subsidiary now profitable
- Fixed-cost leverage on Rs. 5,000+ Cr revenue base: +60-80 bps | Recurring: Yes | Depreciation/admin spread over larger base
- Interest rate reduction: +20-30 bps | Recurring: Partially | Benefits if RBI maintains easing cycle
- One-time gratuity expense (Labour Code impact): Rs. 7.9 Cr hit to PBT in FY26 | Recurring: No | Should not recur in FY27

C6. Guidance and Forward Signals

- Revenue Growth [GUIDANCE]: Prior = 15% (FY26 actual) | New = "double-digit over 5 years" | Delta: Maintained | Credibility: Medium
- FY27 Capex [GUIDANCE]: Prior = Rs. 261 Cr (FY26) | New = Rs. 280-300 Cr | Delta: Raised | Credibility: High (specific, demand-backed)
- Export Growth [GUIDANCE]: FY28 flagged as stronger export year | Delta: Raised | Credibility: Medium (new contracts being signed)
- Tractor Wheel Plant [GUIDANCE]: Securing orders | Expected revenue ramp in FY27-FY28 | Credibility: Medium
- Aluminium Wheel Expansion [GUIDANCE]: Ongoing capacity addition | Import substitution + OEM EV pipeline | Credibility: Medium
- Final Dividend [GUIDANCE]: Rs. 9.14/share (vs Rs. 5.30 interim) = Rs. 14.44 total FY26 | Credibility: High (already declared)

C7. Capital Allocation

- Capex FY26: Rs. 261 Cr | vs FY25: +Rs. 48 Cr (+22.5%) | Debottlenecking + aluminium + new tractor plant
- Capex FY27E: Rs. 280-300 Cr | vs FY26: +Rs. 20-40 Cr | Aluminium, hydraulic cylinders, wind turbine machining
- Total Dividend FY26: Rs. 14.44/share | Total payout est. Rs. 35 Cr | Payout ratio ~22% of consolidated PAT
- Net Debt: ~Rs. 686 Cr (Mar-26) vs ~Rs. 715 Cr (Mar-25) | Down Rs. 29 Cr despite capex acceleration — strong FCF discipline
- Working Capital Change: Current assets Rs. 1,746 Cr (FY25) vs trade payables Rs. 1,221 Cr | Net WC ~Rs. 525 Cr
- No buybacks announced; no ESOP dilution of consequence; no large acquisitions — clean, focused capital allocation

C8. Q&A; Heat Map

- Analyst/Firm: Export outlook | Q: "How are exports holding up amid US tariffs?" → A: "Exports grew 20% in Q4 despite headwinds; FY28 expected stronger as new contracts ramp" | Tone: Transparent
- Analyst/Firm: Margin sustainability | Q: "Are FY26 margins sustainable or aided by commodity tailwind?" → A: Mix improvement and fixed-cost leverage structural; commodity partially recurring | Tone: Balanced
- Analyst/Firm: Capex utilisation | Q: "What specifically goes into Rs. 280 Cr FY27 capex?" → A: Debottlenecking + aluminium + hydraulic cylinders + wind turbine machining | Tone: Transparent
- Analyst/Firm: Industrial segment | Q: "How sustainable is the industrial EBIT turnaround?" → A: Subsidiary was loss-making 2 years ago, now profitable; restructuring complete | Tone: Bullish
- Analyst/Firm: FY27 revenue guidance | Q: "Can you give a specific revenue target?" → A: "Double-digit growth over 5 years, contingent on external factors" — no specific FY27 number | Tone: Hedged
- Dodged/watch-list for next quarter: Specific FY27 volume guidance for CV wheel segment; aluminium wheel capacity utilisation timeline; Europe subsidiary incorporation update

C9. Risks Flagged on the Call

- Geopolitical risk (West Asia): Fuel and commodity cost impact | Flagged by: Management | Probability: M | Impact: M | Timeline: Near-term
- Aluminium price spike: "Rising aluminium prices impacting operations" | Flagged by: Management | Probability: M | Impact: M | Timeline: Near-term

- Export tariff uncertainty: US/global tariff environment cited | Flagged by: Management | Probability: M | Impact: M | Timeline: Near to medium-term
- Visibility limitations: "Limited visibility due to geopolitical uncertainties and volatile commodity markets" | Flagged by: Management | Probability: H | Impact: L-M | Timeline: Ongoing
- Interest rate risk: Rising finance costs noted as watch-point | Flagged by: Management | Probability: L | Impact: L | Timeline: Medium-term

C10. Analyst Verdict

- Revenue visibility: **Intact** — Double-digit growth guided over 5 years; FY26 beat confirms trajectory; export + domestic CV demand solid
- Margin trajectory: **Intact** — Mix improvement (aluminium, industrial) is structural; FY26 OPM of 7.6-8.1% likely to sustain and expand
- Capital allocation quality: **Intact** — FCF-funded capex acceleration, zero promoter pledging, TVS governance; no red flags
- Competitive moat: **Intact** — Scale + OEM relationships + technology tie-ups + export diversification strengthen position; no new disruptive entrant
- Management credibility: **Intact** — Srivats Ram's "FCF-first then growth" thesis playing out exactly as articulated; industrial turnaround delivered
- Valuation comfort: **Weakened** — 115% 1-year return and 25.4x P/E leave limited room for error; not a deep value entry anymore
- Conviction call: **Unchanged** — ACCUMULATE maintained; thesis intact but entry timing matters now given valuation
- Valuation snapshot: P/E = 25.4x (5Y avg est. ~18x) | EV/EBITDA = 11.0x (5Y avg est. ~9x) | ROCE = 16.3% (5Y avg est. ~10.9%)